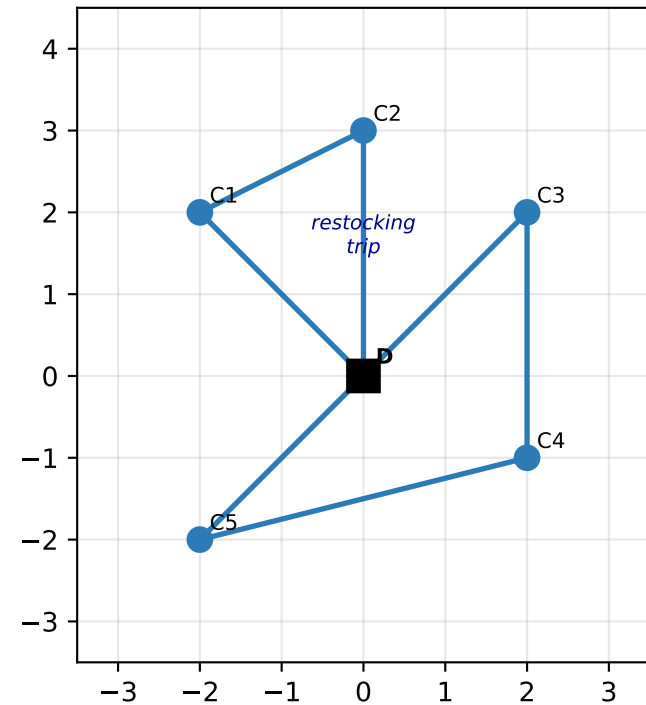
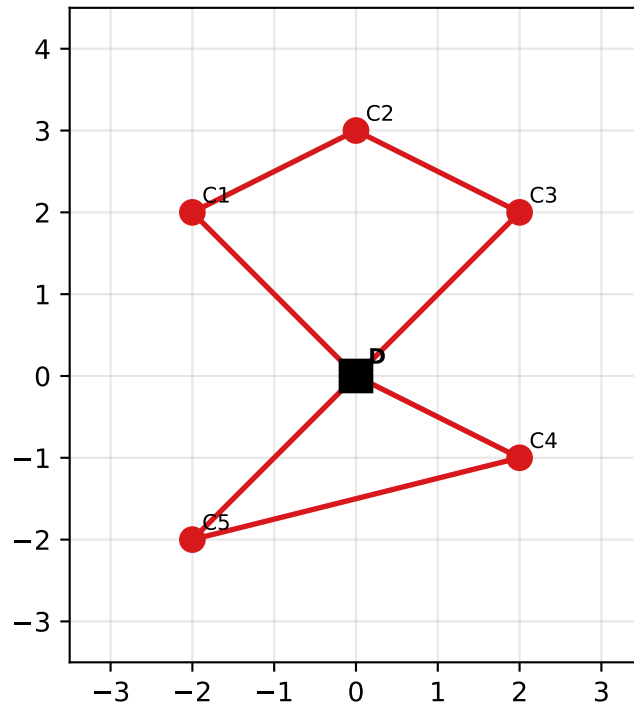


Recourse Strategies for Stochastic Demands

Preventive Restocking
(return before overflow)



Corrective Restocking
(return when capacity exceeded)



Ignore Overflow
(penalty cost incurred)

